

Fiat and commodity money



Money in modern economies is in the form of intrinsically worthless notes. In earlier societies it was made out of precious metals.

So-called commodity money has intrinsic value aside from its monetary value: early forms of money such as gold coins were of this type. Commodity money is costly because it ties up the valuable raw materials used to make it. It is also vulnerable to debasement – mints have an incentive to reduce the precious metal content. The amount of commodity money in circulation also depends on the availability of the commodity – for instance, the economy can be flooded if new metal reserves are found.

Fiat money is a more sophisticated kind of money that avoids these problems – \$100 bills and electronic balances are not tied to any underlying commodity: they are money simply because society agrees that they are. When properly managed by a

responsible government, fiat money enables monetary policy – the manipulation of interest rates and money supply in order to manage the economy (see [Monetary_policy](#)). The risk, however, is that profligate governments can print excessive amounts of money, leading to hyperinflation (see [Hyperinflation](#)).